

Revenue Dropped by 15% – Data Analyst Investigation Summary

Business Problem

The company has experienced a 15% decline in revenue compared to the previous period. The goal is to identify the root cause of the decline and recommend actions to improve revenue performance.

Questions to Ask

- When did the revenue decline start?
- Is the decline company-wide or limited to specific regions?
- Which product categories are most affected?
- Did the number of customers or orders decrease?
- Have cancellations or returns increased?
- Were there any recent pricing, marketing, or website changes?
- Are there any inventory or stock availability issues?

KPIs to Check

Total Revenue, Total Orders, Unique Customers, Average Order Value (AOV), Revenue by Product Category, Revenue by Region, Cancellation Rate, Return Rate, New vs Returning Customers, Conversion Rate.

Data Required

Order Data, Customer Data, Marketing Data, Inventory Data, and Operations Data including cancellations, returns, and delivery performance.

Possible Reasons for Revenue Decline

- Fewer customer orders
- Decrease in website traffic
- Lower conversion rates
- Increased cancellations or returns
- Stock shortages of popular products
- Higher product prices reducing demand
- Reduced marketing effectiveness
- Technical checkout issues
- Delivery delays
- Sales decline in key regions or categories

Expected Outcome

Identify the primary drivers of the revenue drop and provide data-driven recommendations to improve sales, customer retention, and overall business performance.